Mercedes-Benz

SPECIAL PURCHASE CONDITIONS

These Special Purchase Conditions (hereinafter called "SPC") shall apply for the **Supply of Goods** to Mercedes-Benz India Private Limited (hereinafter called "MB India") save as varied by express agreement or by additional terms, if any, accepted in writing by both parties.

1. GENERAL

1.1 All additional terms and conditions for the **Supply of Goods** by the Supplier shall be governed by this SPC, to which reference shall be made in the Purchase Order or Purchase Contract (hereinafter called P.O.) or hereinafter, where appropriate.

1.2 Any other special conditions of the Supplier contrary to or different from the SPC will not apply and shall not form part of the P.O., even if they were not rejected explicitly in any individual case, unless otherwise specifically agreed in Written Form.

2. PACKING AND DISPATCH

2.1 No additional charges will be allowed for packing, forwarding, transport and insurance unless so agreed by MB India. It is distinctly understood that the price shall be DDP (Delivery Duty Paid), unless otherwise agreed by MB India.

2.2 The Goods shall be packed in accordance with commercial and industrial practice applicable for the nature of Goods supplied. Packaging shall be in such a manner to prevent from corrosion and other damages that may occur during transit. Damages to any goods for want or lack of proper packing without incurring the protection to goods will be at the Supplier's risk.

2.3 The Supplier shall transport the Goods with a safe and reliable transporter, who shall adhere to all safety norms and regulations relating to transportation of Goods.

2.4 Insurance shall be a comprehensive insurance, covering shortages and any kind of damage to the Goods and shall also cover any losses or damages to any third party claims against MB India.

2.5 Goods must be supplied/dispatched within the time subject to the condition specified in the P.O. The time and date of delivery stipulated in the P.O shall be deemed to be of the essence of the contract and delivery shall be completed not later than the date specified thereon. Should the Supplier fail to deliver the Goods within the period prescribed for such delivery, then MB India shall be entitled to purchase elsewhere without notice to the Supplier and at the risk of the Supplier, the Goods not delivered without cancelling the P.O. in respect of the consignment not yet due for delivery or to cancel the P.O. in its entirety and in either event, the supplier shall be liable for any loss which MB India may sustain on that account. However, MB India reserves the right to accept or reject the Goods after the delivery timeline of the P.O.

2.6 Any kind of damage made to MB India's property by the Supplier's personnel during the time of loading/unloading of the Goods, the same should be made good by the Supplier free of cost to MB India's satisfaction or MB India will rectify and rectification charges will be recovered from Supplier.

3 INTELLECTUAL PROPERTY RIGHTS

Supplier shall ensure that the Goods and the manufacturing processes do not infringe any third party's patents, trademarks or service marks, copyrights, utility models, designs, confidential information and know-how as well as any other similar rights of any type under the laws of any governmental authority, domestic or foreign, whether or not they are eligible to be registered ("Intellectual Property Rights" or "IPR").

4 QUALITY, INSPECTION, REJECTION AND REWORK

4.1 The Goods shall be free from any defects, design and workmanship and shall comply with all applicable ISO norms and regulations.

4.2 MB India and/or its representatives have the right to inspect/verify the Goods and its process at the Supplier's end. This verification however, will not absolve the Supplier of its responsibility to supply the acceptable Goods nor shall it preclude subsequent rejection. The Supplier shall make arrangements for free access of MB India's designated inspectors for inspection at the Supplier's workshop/facility or at their sub-contractor's workshop/facility.

4.3 MB India has the right to reject any or all the Goods supplied by the Supplier against all or any of the P.O., if on inspection the Goods found to be:

a) Made of any inferior material, quality or standards not approved by MB India;
b) Not as per the specifications provided by MB India;
c) Received in broken and or in damaged condition;
d) Not to the satisfaction of MB India;
e) Goods delivered in excess of the quantity ordered in the P.O.

4.4 The Supplier shall remove the rejected Goods within two weeks from the date of intimation from MB India. In case the Supplier fails to collect the rejected Goods within the timeframe mentioned above, MB India will have the right to scrap the Goods. MB India will have no liability whatsoever in respect of such scrapped Goods. The entire costs and consequences that may arise on rejection mentioned above for all or any Goods supplied by the Supplier shall be borne only by the Supplier without any cost, claim, charge, lien and or consequences accruing to MB India. If Goods are not within the specifications and due to urgency Goods are rectified as indicated by MB India's inspection report, extra inspection and rectification charges incurred by MB India shall be recovered from the Supplier.

4.5 In case of defective Goods, without prejudice to any other rights available to MB India, MB India shall have the right to reasonably elect to demand any of the following remedies according to the specific circumstances:

a) repair, rework or replace the defective goods at Supplier's cost; or
b) abatement of the purchase price in proportion of the reduced value and seek refund of the reduced value from the Supplier if the purchase price has already been paid; or
c) adjust the value of defective Goods against return of any money payable to the Supplier; or
d) execution by MB India itself or through any third party of the remedies in (a) above and seek reimbursement of any related costs incurred by MB India from the Supplier.

5 REPRESENTATION AND WARRANTIES:

5.1 The Supplier warrants that the Goods supplied to MB India will be as per the technical standards agreed with MB India.

5.2 The Supplier warrants that the Goods shall comply with all applicable national, state and local laws and regulations in the relevant sales market related to the Goods.

5.3 The Supplier warrants that it has valid title to the Goods and will deliver them free and clear of all liens and encumbrances.

5.4 The Supplier warrants that when using MB India's premises or facilities, they shall comply with all security and office regulations in effect at those premises or in regard to those facilities as notified by MB India from time to time.

6 TRAINING:

6.1 Where the Goods supplied by the Supplier requires training for its usage, the Supplier shall conduct training to MB India's personnel/agents/representatives on the date and time convenient to MB India.

6.2 Where the training is provided by the Supplier at the request of MB India, then in such cases, the cost of training shall be mutually discussed and agreed upon between MB India and the Supplier.

7 INDEMNITY

The Supplier shall be liable and responsible for any product liability claims for the Goods supplied by them. If MB India is faced with a product liability claim involving death or bodily injury or damage to property which arises out of or in connection with Goods or their use by MB India, the Supplier will indemnify MB India in respect of such claims unless they arise by reasons of negligence by MB India.

8 TERMINATION

8.1 Timelines, quality of Goods, terms of P.O, GPC and SPC is the essence of this arrangement. Failure or non-adherence to the above on the part of the Supplier will lead to withdrawal of the P.O. without any compensation or consequences to MB India. However MB India retains the right to claim damages or any available legal remedy.

8.2 MB India shall have the right to terminate the arrangement (a) if the supplier has been black listed by Government of India on GST portal, and or (b) If GST compliance rating of the supplier is not satisfactory.

8.3 In case of supply arrangement for recurring items, where the supplies are spread over a period of time, MB India is entitled to withdraw the P.O. at any time by giving 30 days' written notice to the Supplier, when the requirements of MB India are fulfilled, or as mentioned in P.O.